

OLIST DATA HUB

Internal Corporate Policy Manual

Authorized by: Office of the Head of Legal and Operations

Classification: CONFIDENTIAL / INTERNAL ONLY

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Vendor SLA for Shipping & Fulfillment

1.0 Purpose and Scope

This Service Level Agreement (SLA) defines the strictly enforced operational expectations, physical limitations, and fulfillment timelines required of all third-party merchants operating on the Olist marketplace. This document serves as a binding addendum to the standard Vendor Terms of Service. It applies to all fulfillment centers, direct-to-consumer shipments, and integrated logistics partners functioning within the Brazilian territory. The primary objective is to guarantee a frictionless, predictable, and high-quality post-purchase experience for the end consumer, thereby protecting the Olist brand equity and maintaining regulatory compliance with national consumer protection laws.

2.0 Strict Performance Thresholds

Olist operates on a zero-tolerance policy for systemic logistical failure. The core metric by which vendor fulfillment health is measured is the Dispatch Delay Rate (DDR). To maintain active selling privileges, vendors must adhere to the following strict thresholds:

- **Maximum Delay Threshold:** A strict **8% vendor delay threshold** is enforced on a rolling 30-day basis. If more than 8% of a vendor's confirmed orders are dispatched to the carrier past the agreed-upon estimated shipping date, the vendor's account will be subjected to immediate administrative review and potential suspension.
- **Time-to-Dispatch (TTD):** Standard inventory must be handed over to the carrier within 48 business hours of payment confirmation. Expedited inventory must be processed within 24 business hours.
- **Cancellation Rate Limit:** Pre-fulfillment cancellations initiated by the vendor due to stockouts or pricing errors must not exceed 2.5% of total order volume.

3.0 Packaging and Volumetric Restrictions

Due to the integration of highly automated sortation facilities across the São Paulo logistics network, strict dimensional limits are imposed on all parcels processed through Olist's subsidized shipping tiers. Non-compliance results in carrier rejection and heavy penalization.

- **Maximum Volumetric Limit:** No single package may exceed a maximum package volume of **50,000 cm³**. Parcels exceeding this limit disrupt automated conveyor systems and require manual freight handling, which falls outside standard operational SLAs.

- **Dimensional Ratios:** The longest side of any package must not exceed 100 cm. The sum of the dimensions (length + width + height) must not exceed 200 cm.
- **Weight Restrictions:** The gross weight of any standard parcel must not exceed 30 kilograms (kg).
- **Packaging Integrity:** Vendors must use double-walled corrugated cardboard for any item exceeding 5 kg. Void fill must consist of recyclable materials; non-biodegradable packing peanuts are strictly prohibited.

4.0 Compliance and Penalties

Failure to meet the SLAs defined herein will trigger an escalating series of penalties. Tier 1 infractions (exceeding the 8% delay threshold for the first time) result in a temporary algorithmic demotion of the vendor's listings. Tier 2 infractions involve financial penalties equivalent to 15% of the delayed merchandise value to fund customer appeasement. Tier 3 infractions result in permanent network offboarding.

Customer Return and Refund Policy

1.0 Regulatory Framework and Purpose

This policy outlines the procedures for handling customer returns, product exchanges, and financial refunds across the Olist ecosystem. This framework is strictly designed to comply with the Brazilian Consumer Defense Code (Código de Defesa do Consumidor - CDC), specifically Article 49 regarding the "Right of Regret" (Direito de Arrependimento) for online purchases. Olist acts as the intermediary and guarantor of these rights, ensuring all vendors operating on the platform abide by these legal minimums while striving to exceed them for competitive advantage.

2.0 The Right of Regret (Arrependimento)

Under Brazilian federal law, customers possess an unconditional right to cancel a digital transaction and return the merchandise without penalty, provided the request is initiated within seven (7) calendar days of physical receipt of the product.

- **No-Questions-Asked Policy:** During this 7-day window, Customer Support agents must not require the customer to justify the return. The process must be frictionless and automated via the Olist self-service portal.
- **Reverse Logistics Cost:** The cost of reverse logistics for Right of Regret claims is borne entirely by the merchant. Olist provides the pre-paid Sedex or PAC shipping label, and the cost is deducted from the vendor's upcoming disbursement.
- **Condition of Goods:** While the right is unconditional, the product must be returned with all original manuals, accessories, and unviolated manufacturer seals (if applicable to software or hygiene products).

3.0 Warranty and Defect Claims

Beyond the 7-day regret period, the CDC mandates a 30-day warranty for non-durable goods and a 90-day warranty for durable goods against manufacturing defects.

- **Verification Process:** Upon receiving a defect claim, the vendor has a legally mandated maximum of 30 days to repair the item, replace it with an identical product, or authorize a full refund. Olist enforces an internal SLA of 15 days to enhance customer satisfaction.

- **Escalation for Non-Compliance:** If a vendor fails to resolve a valid defect claim within the SLA, Olist will unilaterally process a full refund to the customer's original payment method and charge the vendor's ledger, plus a 10% administrative fee.

4.0 Refund Processing Timelines

Financial restitution must be executed with extreme urgency to prevent regulatory complaints and chargebacks. Once a returned package is scanned as 'Received' at the vendor's facility or an Olist hub, the refund protocol is initiated automatically.

- **Credit Card Purchases:** Olist will transmit the refund request to the acquiring bank within 48 business hours. The customer must be informed that the credit may take 1 to 2 billing cycles to appear, depending on their financial institution.
- **Pix / Boletão Bancário:** For purchases made via Pix or Boletão, refunds will be deposited directly into the customer's linked Mercado Pago or bank account within 72 business hours of return verification.

Warehouse Inventory & Orientation Guidelines

1.0 Facility Overview and Architecture

This document governs the physical handling, storage, and movement of merchandise within Olist-managed fulfillment centers and cross-docking hubs. As Olist scales its infrastructure to support high-volume transaction data, standardized physical logistics are paramount. The network is centralized around our primary macro-hubs located in the state of São Paulo (SP), which serve as the arterial center for nationwide distribution.

2.0 Interstate Logistics Routes

To optimize transit times and minimize freight costs, inventory routing is strictly algorithmic. The primary logistics routes originate in São Paulo due to its unmatched density of carrier networks and proximity to major vendor clusters.

- **SP to RJ/MG (Southeast Corridor):** This is our highest volume route. Daily line-haul trucks depart the SP hubs destined for cross-docking facilities in Rio de Janeiro and Minas Gerais. SLA for interstate transfer on these routes is strictly 24 hours.
- **SP to South (PR, SC, RS):** Bi-weekly consolidated freight operations service the southern states. Priority is given to parcels under 5 kg to optimize air-freight capacity when ground routes face weather-related delays.
- **SP to North/Northeast:** Due to geographical complexity, shipments routed to these regions utilize a multimodal approach (ground to air). Strict auditing is required at the SP outbound docks to ensure weather-proofing and secure palletization.

3.0 Storage Compliance and Dimensional Limits

Storage density and automated retrieval efficiency are highly dependent on strict adherence to dimensional constraints. Olist warehouses utilize high-bay racking systems optimized for standardized bin sizes.

- **Hard Volumetric Cap:** Consistent with outbound shipping rules, no single SKU unit entering the warehouse may exceed a **maximum package volume of 50,000 cm³**. Items exceeding this dimension will be rejected at the receiving dock and returned to the vendor at their expense.

- **Bin Allocation:** Inventory is dynamically slotted based on velocity (turnover rate). High-velocity SKUs (Category A) are stored in waist-to-chest-height bins near the packing stations. Low-velocity SKUs (Category C) are relegated to higher vertical racks requiring material handling equipment (MHE).
- **Hazardous Materials (HazMat):** Olist facilities do not currently support the storage of Class 1 (Explosives), Class 2.3 (Poisonous Gas), or Class 7 (Radioactive) materials. Authorized consumer electronics containing lithium-ion batteries must be flagged in the WMS and stored in designated fire-retardant zones.

4.0 Inventory Auditing and Cycle Counts

To ensure data parity between the physical warehouse and the Olist E-commerce Data Hub, continuous cycle counting is employed in lieu of total facility shutdowns.

Automated variance reports are generated daily. Any discrepancy exceeding 0.5% between physical counts and WMS data triggers an immediate secondary audit by the Shift Supervisor. Persistent variances will result in a localized freeze of the affected inventory zone until reconciled.

Customer Support Escalation Matrix

1.0 Triage and Prioritization Framework

The Olist Customer Support (CS) infrastructure is designed to handle high volumes of customer interactions with efficiency and empathy. To achieve optimal resolution times and maintain brand reputation, all incoming queries, complaints, and reviews are subject to immediate algorithmic triage. This matrix defines the routing protocols based on sentiment analysis, specifically focusing on post-purchase public reviews.

2.0 Handling 1-Star Critical Reviews

A 1-star review represents a critical failure in the customer journey, posing an immediate threat to conversion rates and platform trust. These events bypass Tier 1 support entirely.

- **Immediate Escalation:** Any 1-star review submitted to the platform triggers an automatic, high-priority ticket assigned directly to Tier 2 (Specialized Resolution Team).
- **Root Cause Analysis:** The Tier 2 agent must identify the failure point within 4 hours: Logistics (e.g., late delivery, lost package), Product (e.g., defective, not as described), or Vendor behavior (e.g., poor communication).
- **Proactive Outreach:** The agent must initiate proactive outbound contact (via phone or WhatsApp) to the customer within 12 business hours of the review submission. The goal is to de-escalate the situation, offer immediate restitution (refund or replacement), and request a review amendment upon successful resolution.
- **Executive Escalation (Tier 3):** If the 1-star review involves allegations of fraud, counterfeit goods, or physical harm, the ticket is immediately escalated to Tier 3 (Trust & Safety / Legal) and the associated vendor account is temporarily frozen pending investigation.

3.0 Handling 5-Star Positive Reviews

Positive feedback is crucial for organic growth and vendor ranking algorithms. While requiring less human intervention, 5-star reviews must be processed to maximize their value.

- **Automated Acknowledgment:** 5-star reviews trigger an automated, personalized "Thank You" email from the Olist platform, expressing gratitude for their business and encouraging repeat purchases.
- **Vendor Gamification:** The review data is fed back into the vendor's dashboard, contributing to their "Olist Premium" eligibility score.

- **Marketing Syndication:** Exceptionally detailed 5-star reviews (containing photos or lengthy text) are flagged by the system for potential use in Olist marketing collateral, subject to automated customer consent requests.

4.0 Standard SLAs for Inbound Queries

For standard transactional inquiries (e.g., "Where is my order?", "How do I return this?"), the following SLAs apply:

Tier 1 (General Support): First response time (FRT) < 4 hours. Time to resolution (TTR) < 24 hours.

Tier 2 (Specialized/Escalated): FRT < 2 hours. TTR < 48 hours.

Tier 3 (Legal/Executive): FRT < 1 hour. TTR is variable based on case complexity.

Data Privacy and Cross-Border Information Handling

1.0 LGPD Compliance Mandate

Olist strictly adheres to the Lei Geral de Proteção de Dados (LGPD - Law No. 13,709/2018), Brazil's comprehensive data protection regulation. This policy governs the collection, processing, storage, and cross-border transfer of all Personally Identifiable Information (PII) belonging to customers, vendors, and employees. The Chief Data Officer (CDO) and the designated Data Protection Officer (DPO) are responsible for enforcing this mandate across all internal systems and third-party integrations.

2.0 Data Minimization and Anonymization for Analytics

As Olist develops advanced analytics platforms, including Retrieval-Augmented Generation (RAG) pipelines and Large Language Models (LLMs) for internal knowledge hubs, the protection of raw customer data is paramount.

- **Strict Anonymization Protocol:** No raw PII (names, exact addresses, CPF numbers, credit card details) shall be ingested into data lakes intended for machine learning training, RAG vector databases, or general business intelligence dashboards.
- **Tokenization:** All sensitive identifiers must be tokenized or hashed at the point of ingestion. For logistical analysis, exact customer addresses must be aggregated to the CEP (postal code) or neighborhood level to prevent individual identification while maintaining geographical utility for routing analysis.
- **Access Controls:** Access to unmasked PII is restricted to authorized Tier 2/Tier 3 Customer Support agents, Trust & Safety personnel, and specific engineering roles, governed by strict Role-Based Access Control (RBAC) and logged with immutable audit trails.

3.0 Cross-Border Data Transfers

While Olist operates primarily within Brazil, the utilization of global cloud service providers (e.g., AWS, GCP) may necessitate the transfer of data across international borders.

- **Adequacy and Standard Contractual Clauses (SCCs):** Data may only be transferred to jurisdictions that the Brazilian National Data Protection Authority (ANPD) recognizes as having an adequate level of protection, or where robust Standard Contractual Clauses are legally binding upon the receiving entity.

- **Data Localization:** Whenever feasible, primary databases containing critical Brazilian consumer data must be hosted in data centers physically located within the Brazilian territory (e.g., São Paulo cloud regions) to minimize latency and regulatory friction.

4.0 Data Subject Rights and Breach Protocols

Olist guarantees all rights afforded to data subjects under the LGPD, including the right to access, correct, port, and delete their data ("Right to be Forgotten"). Requests submitted via the privacy portal must be fulfilled within 15 calendar days.

In the event of a suspected data breach compromising PII, the Incident Response Team must be activated immediately. If the breach poses a significant risk to the rights and freedoms of data subjects, the DPO must notify the ANPD and the affected individuals within 48 hours of confirmation.